

Q: There are a lot of companies, including online operations, that claim to repair credit ratings. Should I consider one?

A: Definitely not. Don't waste your money on sleazy firms that promise to fix credit reports. At best, these fly-by-night companies work the legal fine print to trip up the credit bureaus and force them to remove negative information. But most of the time, they do nothing for you. Instead, go to the FTC's website (www.ftc.gov) and get a copy of the agency's free publication "Credit Repair: Self Help May Be Best." Or call 877-FTC-HELP.

Q: What should I do if I find a mistake in my credit report?

A: Credit bureaus have a reputation for making mistakes. Sometimes it's simply misspelling your name or giving a wrong address, but sometimes it's a potentially damaging error, such as incorrectly indicating that you've defaulted on a loan.

If you find a mistake on your report, contact the credit agency right away to dispute it. You can do this online, by mail, or on the phone at all three agencies. Be specific about your concerns. The agency has to investigate your complaint—usually within thirty days—unless it considers the dispute unjustified. If it can't verify the information on the report, the agency is legally required to delete it. If this happens, you can ask that copies of the corrected report be sent to any lender who has seen the report within the past six months or any potential employer who has seen it within the past two years. (You'll find a list of these people on the credit report itself.) If you don't agree with the outcome of the investigation, write a short statement (100 words or fewer) and send it to the credit agency to include in your credit report. They won't let you do this online; you'll have to send it through the mail.

Q: Will "credit card surfing" hurt my credit score?

A: Hopping from credit card to credit card whenever your low teaser interest rate runs out can save you money, but it could also slightly lower your credit rating. Every time you apply for new credit, an inquiry is noted on your report. Credit scoring systems tend to punish people with a lot of